harbors the highest high, 23.38. The difference, 5.63, is the height. Subtract the height from the lowest low to arrive at a target price of 12.12 (that is, 17.75 – 5.63). The figure shows price reaching the target in mid-June.

To better gauge the veracity of the result, you might look at the predicted decline in percentage terms. From the confirmation point (the lowest low) of 17.75, a 5.63-point decline is a loss of 32%. Table 68.3 indicates that less than 12% of triple tops in bull markets have losses more than 30%. Those are terrible odds.

In such a situation, and in most cases, you should look for support levels. Price indicates support when it declines to a level and then rebounds. For example, the stock paused at $16 during July and August 1991 (not shown in Figure 68.6). This pause showed support where the stock again paused during April (shown). Eventually, the stock worked through the support and tumbled to a lower support level.

The lower portion of Table 68.10 shows how often price reaches a target. In bull markets, for example, using the full height like we did in our example, the stock will reach or exceed the target 49% of the time.

For a closer target, cut the height in half and subtract it from the breakout price. That will boost the success rate to 72%.

Wait for confirmation. In a roaring bull market, triple tops are often deceiving. Three price bumps appear, and price does not decline to the confirmation price before soaring. Thus, an important guideline in using triple tops is to wait for price to *close* below the confirmation price.

What is the confirmation price? It's the price of the lowest low between the three peaks. It's also called the breakout price.

Trade the trendline. Draw a trendline connecting the two valleys between the three tops in a triple top. If this trendline slopes upward, a trade signals when price closes below it. This method will often get you in sooner than waiting for price to close below the lowest low. Ignore the method for down-sloping trendlines (because price may never close below the trendline).

Wait for pullback. Pullbacks occur 66% of the time (Table 68.4), so if you miss the original breakout, you can often place your trade during the pullback. Figure 68.6 shows a quick pullback occurring just 2 days after the